

Micron Technology, Inc.

MU NASDAQ

Buy	\$1081.32 ▲ 3.58%	12M Price Target \$1250.00	52-Week Range \$154.65 – \$1255.00	Market Cap \$1.22T
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MU: Memory Supercycle Meets Chip Policy Tailwinds

WHAT HAPPENED

- MU ripped another 3.6% and is now up ~17% in five sessions — the trigger is Acer's CEO warning about memory supply shortages, which validates the Michael Burry memory thesis that's been circulating. When a PC OEM says "we can't get chips," that's the tell that pricing power is real, not hype.
- Rosenblatt initiated SanDisk with a Buy and a \$2,400 target — that's an aggressive read on the whole memory complex, and it dragged MU and Seagate up in sympathy. Analysts are basically saying the memory upcycle has another leg.

WHY IT MATTERS

Here's what this move really means: memory (DRAM and NAND — the chips that store data in every phone, PC, and AI server) is transitioning from a boom-bust commodity to a structurally tight market because AI accelerators need 6-8x more high-bandwidth memory (HBM) per chip than traditional servers. When a PC maker publicly warns about shortages, that's a signal the crunch has spread beyond AI data centers into consumer devices — meaning MU can raise prices across the whole product line, not just the sexy HBM stuff. The stock at 84% of its 52-week range isn't overheated if earnings estimates keep getting revised up faster than the price. Watch for MU's earnings next week — if they guide FY27 above consensus, the \$1,250+ targets become the floor, not the ceiling.

POLICY & POLITICAL WATCH

Micron is arguably the biggest single winner from the CHIPS and Science Act — they've been awarded roughly \$6.1B in direct funding for their Idaho and New York fabs, and disbursements are ongoing. The current administration has kept CHIPS money flowing but there's chatter about restructuring the terms with a possible equity-for-grants swap (like what happened with Intel) — if that hits MU it would be a short-term overhang. On the tariff side, the escalating US-China chip export controls are actually a net positive: they prevent Chinese memory makers (CXMT, YMTC) from competing on advanced nodes globally, protecting MU's pricing power.

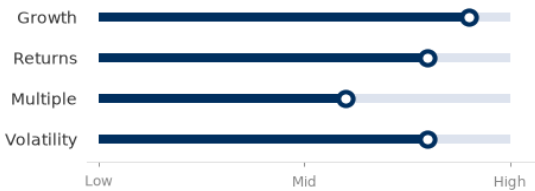
IS IT EXPENSIVE?

At ~\$1,081 and roughly 25x forward earnings — meaning you're paying \$25 today for every \$1 the company is expected to earn next year — MU looks expensive versus its historical average of ~12x, but that historical average was for a boom-bust commodity business. If this is really a structural HBM-driven supercycle, the right comp is more like NVDA-adjacent infrastructure at 30x+, and the stock is actually reasonable. The key question: are FY27 earnings estimates of ~\$58 too high or too low? Every dollar of upside there is worth ~\$25 in stock price.

Key Data

Price (USD)	\$1081.32
12M Price Target	\$1250.00
Upside / (Downside)	+15.6%
Market Cap	\$1.22T
FY2026E Revenue	\$52,000M
FY2027E Revenue	\$68,000M
FY2026E EPS	\$42.00
FY2027E EPS	\$58.00
Fwd P/E	25.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1180.00	\$1120.00	\$980.00
6 Months	\$1400.00	\$1250.00	\$950.00
1 Year	\$1600.00	\$1350.00	\$900.00
2 Years	\$2000.00	\$1600.00	\$850.00
5 Years	\$2800.00	\$2000.00	\$700.00
10 Years	\$4000.00	\$2500.00	\$600.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semiconductors broadly — AMD just joined the trillion-dollar club, memory names are ripping, and the AI infrastructure trade is back on after a summer of consolidation. Policy tailwind: continued CHIPS Act disbursements plus export controls keeping Chinese competition offshore.

COOLING OFF: Consumer discretionary and utilities are lagging — money is chasing growth again, not defensiveness. The rate-cut narrative that boosted utilities in August is fading.

ROTATION WATCH: Money is rotating out of "safe AI" (big cap software) into "picks and shovels AI" — memory, networking, power infrastructure. That's a direct tailwind for MU.

RELATED PLAY: If memory is the bottleneck, the equipment makers who supply Micron's fabs (Applied Materials, Lam Research, KLA) are second-order winners — they get paid whether MU or Samsung builds the capacity.

WHO'S WINNING IN THIS SPACE?

- AMD (Advanced Micro Devices): Just crossed \$1T market cap on MI400 momentum and Lisa Su's execution — validates that AI silicon demand isn't slowing.
- SNDK (SanDisk): +6% on Rosenblatt Buy with \$2,400 target — signals NAND flash supply is also tightening, not just DRAM.

MU CONTEXT: MU is leading the memory subsector this week and keeping pace with the broader AI trade, which tells me institutions are treating it as a core AI holding now rather than a cyclical trade. That's a regime change — it typically means multiples stay elevated longer than shorts expect.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I'm confident in the setup but respectful of memory's cyclical history; the earnings print next week is the real test.

POSITION SIZE: 3-5% of portfolio — real upside but memory stocks can whipsaw 20% in a week, so don't oversize.

ENTRY POINTS: Ideal add zone is \$950-1000 on any macro-driven pullback; chasing above \$1,100 is fine for a starter position but leave room to add.

TIME HORIZON: 12-24 months — the catalyst path is (1) next earnings + FY27 guide, (2) HBM4 qualification wins at NVDA/AMD, (3) another CHIPS Act tranche.

WHEN TO BAIL: If MU guides HBM pricing down, if a hyperscaler cuts 2027 capex, or if the stock breaks \$900 on heavy volume — that's the market telling you the cycle turned.

HEDGING: Buy puts 15% below current price for downside insurance, or pair with a short in a weaker memory peer so you're betting on MU's execution advantage rather than the whole sector going up.